



**BEFORE THE PUBLIC UTILITIES COMMISSION OF THE
STATE OF CALIFORNIA**

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Application of Southern California Edison
Company (U 338-E) to Establish Marginal
Costs, Allocate Revenues, and Design Rates.

Application 24-03-019

**JOINT REPLY COMMENTS OF SOUTHERN CALIFORNIA EDISON COMPANY
(U 338-E), CALSTART, INC., SMALL BUSINESS UTILITY ADVOCATES, SOLAR
ENERGY INDUSTRIES ASSOCIATION AND VEHICLE-GRID INTEGRATION
COUNCIL IN SUPPORT OF VEHICLE TO GRID RATE PROPOSAL SETTLEMENT
AGREEMENT**

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Dated: **October 27, 2025**

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Pursuant to Rule 12.2 of the California Public Utilities Commission's (Commission) Rules of Practice and Procedure (Rules), and Assigned Administrative Law Judge Marcelo Poirier's October 14, 2025 email ruling extending the deadline to submit these Joint Reply Comments to October 27, 2025, Southern California Edison Company (SCE), CALSTART, Inc. (CalStart), Small Business Utility Advocates (SBUA), Solar Energy Industries Association (SEIA), and Vehicle-Grid Integration Council (VGIC), (referred to herein as the Settling Parties)¹ submit these Joint Reply Comments in support of the Vehicle to Grid Rate Proposal Settlement Agreement (Settlement Agreement), filed September 5, 2025.² Settling Parties respond to the Comments of the Public Advocates Office (Cal Advocates) in opposition to the Settlement Agreement, filed October 6, 2025.

¹ The Settling Parties are all the signatories to the Settlement Agreement. Pursuant to Rule 1.8(d) of the Commission's Rules of Practice and Procedure, the Settling Parties authorize SCE to submit these Joint Reply Comments on their behalf.

² The Settlement Agreement is Attachment A to the Motion for Adoption of the VGRP Settlement Agreement, which was also filed on September 5, 2025.

I.

INTRODUCTION

On September 5, 2025, after extensive negotiations, Settling Parties filed a joint motion in support of a Settlement Agreement that resolves SCE's Vehicle to Grid Resource Proposal (VGRP).³ VGRP is a new program for SCE, which will provide significant benefits to the grid and help meet California's greenhouse gas (GHG) emissions reduction goals.⁴ There are expected to be 7.1 million electric vehicles in the state by 2031.⁵ On average, these vehicles will be used for transportation only a fraction of each day, creating a potential grid resource that, "if tapped effectively, could help address the burgeoning challenges facing the grid as it integrates increasing volumes of renewable energy sources."⁶ Now is the ideal time to implement VGRP and begin tapping this resource for three reasons: (1) technology has advanced to the point that bi-directional capabilities (through which an electric vehicle can take power from the grid and put power onto the grid) are increasingly becoming available, and are expected to be included in the majority of new electric vehicles sold by 2026; (2) customers are increasingly aware of vehicle-to-grid resources; and (3) SCE's customers have expressed interest in participating in a vehicle-to-grid resource program.⁷

The Settlement Agreement includes detailed requirements for VGRP, including eligibility criteria, a participation cap, and two rate options based on whether the customer's bi-directional electric vehicle is the sole exporting resource at the service address (Rate Option 1) or the vehicle is paired with another exporting resource under an existing Net Energy Metering (NEM), Net Energy Metering Successor Tariff (NEM-ST), or Net Billing Tariff (NBT) configuration (Rate Option 2).⁸ The Settlement Agreement also includes detailed export compensation

³ SCE's as-filed VGRP is described at Exhibit SCE-04, pages 121-138 and Exhibit SCE-04A, pages 120-137.

⁴ Ex. SCE-04, p. 121; Ex. SCE-04A, p. 120.

⁵ *Id.*

⁶ Ex. SCE-04, p. 122; Ex. SCE-04A, p. 121.

⁷ Ex. SCE-04, pp. 125-126; Ex. SCE-04A, pp. 124-125.

⁸ Settlement Agreement, pp. 6-7.

requirements, which differ based on the rate option the customer is eligible for and, if Rate Option 2 applies, whether the customer has an NBT paired resource or a NEM or NEM-ST paired resource.⁹ The VGRP compensation for all customers is based on “the average hourly weekday and weekend Avoided Cost Calculator (ACC) values applied to NBT exports, also referred to as Energy Export Credit (EEC).”¹⁰

Cal Advocates opposes only one aspect of the Settlement Agreement: the ACC-based compensation provision. Its opposition lacks merit, ignores CPUC precedent, and fails to recognize the substantial benefits that will be achieved from adopting the Settlement Agreement as a whole, without modification. Below, Settling Parties summarize the conclusive evidence demonstrating that Cal Advocates’ opposition should be rejected and that the Settlement Agreement is consistent with the law, reasonable in light of the whole record, in the public interest, and should be approved.

II.

LEGAL STANDARD

Rule 12.1(d) provides the standard of review applicable to the Settlement Agreement: “The Commission will not approve settlements, whether contested or uncontested, unless the settlement is reasonable in light of the whole record, consistent with law, and in the public interest.” The Commission has a policy of favoring settlements.¹¹ When a party opposes a portion of a settlement, as Cal Advocates does here, the “Commission considers whether [the] settlement is just and reasonable based on the agreement as a whole, not on individual provisions.”¹² The Commission does not “attempt to second-guess and re-evaluate each aspect

⁹ Settlement Agreement, pp. 7-9.

¹⁰ *Id.*, p. 5.

¹¹ D.25-01-042, pp. 8-9.

¹² *Id.* at 9.

of the settlement, so long as the settlement[] as a whole [is] reasonable and in the public interest.”¹³

III.

DISCUSSION

Cal Advocates fails to apply the Commission’s standard for review of settlements because it attacks a single provision of the Settlement Agreement rather than the agreement as a whole. In addition, contrary to Cal Advocates’ claims, the Settlement Agreement’s ACC-based export compensation provision is consistent with Commission precedent and is superior to Cal Advocates’ preferred compensation mechanism, dynamic rates. For all these reasons, the Commission should reject Cal Advocates’ opposition and approve the Settlement Agreement.

A. Cal Advocates Fails To Apply The Commission’s Standard For Review of Settlements

As Settling Parties explained in the Joint Motion for adoption, the Settlement Agreement is consistent with the law and substantial record evidence demonstrates it is reasonable in light of the record and in the public interest.¹⁴ SCE, SEIA, and VGIC all explained the benefits of adopting a vehicle-to-grid program in testimony.¹⁵ SCE testified that utilizing electric vehicles as a resource will “support grid stability and reliability, promote energy efficiency, and enhance customer value”¹⁶ and SEIA testified to the benefits to the grid and to electric vehicle owners of adopting VGRP,¹⁷ as did VGIC.¹⁸

¹³ D.25-01-042, p. 36, *quoting* D.04-12-017, pp. 9-10. *See also* D.07-11-018, p. 6 (“We consider individual settlement provisions in our assessment of settlements but, in light of strong public policy favoring settlements, we do not base our conclusion on whether any single provision is the optimal result. Rather, we determine whether the settlement as a whole produces a just and reasonable outcome.”).

¹⁴ Motion of SCE and Settling Parties for Adoption of the VGRP Settlement Agreement, pp. 7-9.

¹⁵ *See* Ex. SCE-04, pp. 121-138; Ex. SCE-04A, pp. 120-137; Ex. SEIA-01, pp. 54-62; Ex. VGIC-01, pp. 11-17.

¹⁶ Ex. SCE-04, p. 127; Ex. SCE-04A, p. 126.

¹⁷ Ex. SEIA-01, pp. 54-55.

¹⁸ Ex. VGIC-01, pp. 2-10.

Cal Advocates did not oppose this testimony. Its opposition to the Settlement Agreement rests instead on its disagreement with the export compensation mechanism. It believes dynamic export credits are a better alternative for export pricing than the ACC¹⁹ and that “a rate design tying export credits to the ACC and static forecasts risks under- or over-compensating EV owners.”²⁰ According to Cal Advocates, “the record does not reflect that the ACC is a better alternative to dynamic export credits.”²¹

These positions are factually incorrect, as Settling Parties explain in the sections below. In addition, Cal Advocates has not shown, as a matter of law, that the Settlement Agreement should be rejected because Cal Advocates has not shown that the Settlement Agreement *as a whole* is unjust or unreasonable. The Commission does not “attempt to second-guess and re-evaluate each aspect of the settlement, so long as the settlement[] as a whole [is] reasonable and in the public interest.”²² The fact Cal Advocates may believe dynamic pricing is optimal to ACC-based compensation is insufficient grounds for rejecting or modifying the Settlement Agreement.

B. Contrary To Cal Advocates’ Claims, The Export Compensation Provision is Consistent With Commission Precedent and Policy

1. Use Of The ACC In VGRP Is Consistent With Commission Precedent Regarding Export Compensation

The Commission adopted ACC-based pricing for exports in D.22-12-056, which addressed NBT, the successor tariff to NEM. Cal Advocates attempts to characterize that decision as “a one-off application to address the high subsidies from Net Energy Metering,”²³

¹⁹ E.g., Cal Advocates Comments, p. 1.

²⁰ Cal Advocates Comments, p. 4.

²¹ Cal Advocates Comments, p. 1.

²² D.25-01-042, p. 36, *quoting* D.04-12-017, pp. 9-10. *See also* D.07-11-018, p. 6 (“We consider individual settlement provisions in our assessment of settlements but, in light of strong public policy favoring settlements, we do not base our conclusion on whether any single provision is the optimal result. Rather, we determine whether the settlement as a whole produces a just and reasonable outcome.”).

²³ Cal Advocates Comments, p. 2.

but the decision itself provides no support for this characterization. To the contrary, the Commission's Findings of Fact regarding the ACC are just as applicable to VGRP as to NBT:

- “This decision previously found that basing retail export compensation rates on Avoided Cost Calculator values brings the cost of the successor tariff closer to its value. Hence, using averaged monthly values for retail export compensation rates also ensures the tariff is based on the generator's true costs and benefits to the grid, thus leading to equity among all ratepayers while maximizing the value of the generation to all customers and to the grid.”²⁴
- FOF 98: “Using the Avoided Cost Calculator approach will ensure the costs and benefits are approximately equal.”
- FOF 99: “Using the Avoided Cost Calculator approach leads to positive outcomes for customers and nonparticipating ratepayers.”
- FOF 100: “With the exception of the 2020 version of the Avoided Cost Calculator, the calculator has consistently reflected the value of exported energy from year to year.”
- FOF 101: “Using Avoided Cost Calculator values to set retail export compensation rates will ensure the retail export compensation rate is based on the benefits provided to the electric grid and will reduce the cost shift.”²⁵

Further, in D.22-12-056 the Commission considered the same claim Cal Advocates makes here, that the ACC is not intended to be used for ratemaking.²⁶ The Commission rejected the claim.²⁷ Moreover, in D.22-12-056, the Commission established two standards applicable to rate designs intended for Distributed Energy Resource (DER) applications: (1) the net billing rate structure that provides asymmetric pricing for exports and (2) export compensation based on a

²⁴ D.22-12-056, p. 142.

²⁵ D.22-12-056, FOFs 98-101, p. 216.

²⁶ Cal Advocates Comments, pp. 2-5.

²⁷ D.22-12-056, p. 102 (addressing arguments that “the Avoided Cost Calculator was not designed to inform rate design...this approach exceeds the tool's capabilities”) (internal quotation omitted).

forecast of avoided costs in the form of the ACC. Together, these policy changes marked a departure from the NEM framework and set the standard for DER rate designs going forward. VGRP is consistent with both of these standards because VGRP is a net billing rate structure with export compensation based on the ACC.

Under a net billing structure all delivered energy is charged at the retail rate and exports are compensated at a rate that approximates the utility's avoided costs. The net billing structure established the precedent for asymmetric pricing of imports and exports, where imported energy is charged at a value that includes marginal and non-marginal costs while export energy is compensated at the marginal costs or a value that approximates marginal costs. Asymmetric rate designs are more equitable and accurate from a pricing perspective because, as Cal Advocates itself explained in the NEM successor proceeding, "net billing will disassociate export compensation from the retail rate, thus providing a more objective and transparent approach."²⁸ Asymmetric pricing, with export compensation that approximates avoided costs, has now been extended to all net billing and virtual net billing rates provided by the three large investor owned utilities (IOUs), as well as dynamic rates through D.25-08-049. In that decision, the Commission recognized that asymmetric pricing is now a well-established precedent and that it achieves a basic principle of net billing rates: "The asymmetric approach avoids cost shifting and ensures revenue neutrality, cost-reflectivity and strong load-shift economic incentives in a manner that aligns with past Commission precedent."²⁹

D.25-08-049 also accepted use of the ACC as a forecast of avoided costs. ACC values were determined to be an appropriate option for Marginal Generation Capacity Costs (MGCCs), and the decision cites alignment with the NBT as a key consideration: "[T]he IRP proceeding establishes and updates key input values for the ACC, including the capital cost of generation resources that is used to derive MGCCs. This is particularly important because the bi-annual

²⁸ *Id.*, p. 100.

²⁹ D.25-08-049, p. 96.

updates to the ACC determine the calculations for NBT retail export compensation.”³⁰

The Settling Parties similarly took this alignment into consideration when developing VGRP, and therefore structured the rate with asymmetric pricing and set the net billing export compensation at the same avoided cost value as provide to NBT applications.

For these reasons, Cal Advocates’ assertion that D.22-12-056 was not precedential for rate designs intended for DER applications like VGRP is unsupported by the decision and should be rejected.

2. VGRP Uses The Commission Adopted Framework For Export Compensation In The Net Billed Tariff

The Settling Parties developed the agreed-upon VGRP to align with the Commission’s current policies regarding net billed rate designs. In doing so, the existing NBT export compensation framework was used. Cal Advocates’ claim that the Settlement Agreement seeks to redefine the role of the ACC³¹ is simply not true, given VGRP is using the same Energy Export Credit (EEC) previously defined for the NBT.

EECs are hourly-based monetary credits applied to the amount of electricity a customer exports to the grid. These credits are calculated using the ACC, which determines the value of electricity based on time-of-day, weekday/weekend, and seasonal factors. The Settlement Agreement describes VGRP export compensation in this way: “The EV Export compensation for both configurations will be the average hourly weekday and weekend Avoided Cost Calculator (ACC) values applied to NBT exports, also referred to as Energy Export Credit (EEC).”³² This passage makes clear that VGRP is not redefining the role of the ACC but rather continues the practice of applying EEC to net billed tariffs established in D.22-12-056. The hourly

³⁰ *Id.*, p. 47.

³¹ Cal Advocates Comments, p. 3.

³² Settlement Agreement, p. 5.

granularity of EEC values was specifically intended to encourage the use of storage DERs in conjunction with solar; EVs, of course, are a storage-based DER.³³

Using EECs to value exports is especially important for VGRP because it provides a transparent and easy-to-understand compensation mechanism. “To catalyze the adoption of [vehicle-to-grid] technology and move beyond the realm of pilot projects, it is necessary to establish a clear and equitable compensation framework – a rate option that delineates a transparent and user-friendly pricing schedule, will empower customers to make informed decisions regarding the acquisition of bidirectional charging equipment and integrating their vehicles with the grid in providing energy export retail services.”³⁴ In contrast to EEC-based pricing, pricing in dynamic rate pilots, as recommended by Cal Advocates, is less transparent and “offers no pathway for stakeholders to assess the accuracy of the price signals.”³⁵

Cal Advocates does not reference EEC in its Comments, and repeatedly refers to export compensation being based on the ACC. Cal Advocates may have misunderstood that the Settlement Agreement incorporates only EECs. To resolve any confusion, the Settling Parties affirm here that export pricing will be based only on EECs, consistent with D.22-12-056.

3. The Settlement Agreement Is Consistent With Commission Policy

Cal Advocates claims settlements should not be used to formulate Commission policy.³⁶ It also claims that “[a]dopting export credits based on a tool that was not designed for ratemaking purposes risks misaligning compensation with actual system needs, thereby discouraging efficient customer behavior and undermining vehicle-to-grid adoption.”³⁷ The implication that the Settlement Agreement somehow violates Commission policy, or establishes new policy, is unsupported and should be rejected.

³³ See D.22-12-056, at p. 142: “This approach [hourly EEC values] also yields more accurate signals for customer generators to reduce imports from the grid and for battery storage to dispatch during the hours that are most valuable to the grid.”

³⁴ Ex. SCE-04, p. 122; Ex. SCE-04A, p. 121.

³⁵ Ex. VGIC-01, pp. 28-29.

³⁶ Cal Advocates Comments, p. 2.

³⁷ *Id.*, p. 4.

VGRP is consistent with Commission decisions and policy supporting grid reliability and GHG reductions. The CPUC, along with the California Energy Commission (CEC), has played “a pivotal role in developing pilots, programs, and services that enable flexible resources like [electric vehicles] to integrate with the grid while supporting the broader policy objectives of the State, including achieving the State’s clean energy goals and addressing affordability concerns.”³⁸ SCE summarizes these Commission-approved programs in its direct testimony volume SCE-04, at pages 123-125.³⁹ The Settlement Agreement is consistent with this policy, as reflected in CPUC decisions, and advances it by adopting a more permanent vehicle-to-grid option for SCE’s customers.

Cal Advocates does not cite record support for its contention that the export credit mechanism may undermine vehicle-to-grid adoption. In contrast, signing parties testified that ACC-based compensation would, in fact, support vehicle-to-grid adoption.⁴⁰ Further, Cal Advocates’ contention is belied by D.22-12-056, in which the Commission found that export pricing based on the ACC balances a host of interests, including transparency and ensuring costs and benefits are approximately equal.⁴¹

Finally, Cal Advocates’ claim that policy should not be set in a settlement agreement is inapposite because the Settlement Agreement by its very terms does not ask the Commission to adopt new policy: it provides (consistent with Commission Rule of Practice and Procedure 12.5) that the Settlement Agreement is non-precedential and that Settling Parties are free to take different positions on any of the issues resolved in the Settlement Agreement in future proceedings.⁴²

³⁸ Ex. SCE-04, p. 123; Ex. SCE-04A, p. 122.

³⁹ *Also*, Ex. SCE-04A, pp. 122-124.

⁴⁰ *See* Ex. VGIC-01, pp. 28-29, Ex. SEIA-01, pp. 56-60.

⁴¹ *See* D.22-12-056, pp. 100-106, FOFs 96-106, pp. 216-17.

⁴² Settlement Agreement, p. 13 (Section 12). This section of the Settlement Agreement contains a typo. It should provide that Settling Parties *may advocate a position that is inconsistent with this Agreement in Phase 2 of SCE’s 2022 GRC*, rather than the 2025 GRC.

C. Cal Advocates’ Preferred Export Compensation Option—Dynamic Pricing—Is Inappropriate For VGRP

1. The Dynamic Rate Pilot Uses Hourly Retail Level Prices For Dynamic Loads And Export Compensation Based On The ACC

Cal Advocates recommends the use of SCE’s Dynamic Pricing Rate Pilot for export compensation, claiming “dynamic rate pilots, such as SCE’s Expanded Pilot authorized in Decision (D.) 24-01-032, provide a more accurate price signal to customers than the ACC”⁴³ and “[a] more prudent outcome would be to expand existing dynamic rate pilots and continue to test export credits based on a dynamic price signal.”⁴⁴ Cal Advocates implies SCE’s dynamic prices are set at marginal costs, which is not the case. In fact, SCE has designed its hourly dynamic rates for the pilot at a retail level. SCE’s dynamic rate is described in the two applications⁴⁵ filed by SCE in 2024, to which Cal Advocates is a party and is aware of SCE’s rate design approach to dynamic rates. Putting aside the fact VGRP represents a net billing rate and not a dynamic price rate, Cal Advocates’ proposal to compensate exports at a retail rate level rather than an avoided cost rate is counter to the Commission’s direction regarding export compensation in D.25-08-049, where the Commission stated that export compensation rates should be asymmetric⁴⁶ and thus not reflect any scaling associated with retail rates. Using the dynamic rate pilot is not consistent with the Commission’s direction and therefore not appropriate for the VGRP export rate.

Cal Advocates is mistaken as to how customers with energy exports are compensated under the pilot. Participating customers are served on their existing rate schedules for the subscription portion of load. The dynamic portion of the load is served on hourly dynamic rates that are not applied to exports. Under this framework, and consistent with D.22-12-056, NEM and NBT customers are compensated for exports at the same export rate as if they were not

⁴³ Cal Advocates Comments, pp. 2-3.

⁴⁴ *Id.*, p. 3.

⁴⁵ A.24-06-014 and A.24-12-008.

⁴⁶ D.25-08-049, p. 95.

participating in the pilot. Therefore, for exports, NEM and NEM-ST customers receive their respective retail level compensation and NBT customers receive compensation based on the ACC. This is consistent with the Settlement Agreement, and counter to Cal Advocates' apparent understanding that exports are compensated at a marginal dynamic rate level. As VGRP is a form of net billing in a paired storage arrangement, VGRP customers will also be provided with export compensation based on the ACC. The pilot maintains compensation for NEM and NBT customers under the current frameworks as the exploration of different compensation levels for NEM and NBT is not a goal of the pilot. Additionally, there are statutes and regulations that restrict deviations from the current methods of export compensation for NEM/NEM-ST and NBT customers.⁴⁷ These restrictions contributed to SCE's decision to use ACC-based export compensation for net billed vehicle-to-grid arrangements.

Excluding non-marginal costs from the export compensation rate is consistent with the Commission's policy regarding export compensation, for good reason: "As noted by Cal Advocates and the Joint IOUs, export prices that incorporate non-marginal costs would lead to cost shifts to non-participating customers."⁴⁸ Using the EEC for VGRP export compensation is consistent with the Commission's policy while recognizing that vehicle-to-grid exports avoid similar costs as energy exported from other DERs. Using technology agnostic pricing has the added benefit of being a cost-effective approach as existing systems and processes can be used. Therefore, should the Commission adopt Cal Advocates' proposal, the outcome would be the same as the Agreement reached by the Settling Parties.

2. Dynamic Pricing Rate Design Principles Are Not Applicable To VGRP

The Commission should reject Cal Advocates' suggestion that VGRP must comply with Demand Flex Design Principle 6.⁴⁹ Demand Flex Design principles are not relevant to VGRP for the simple reason that the VGRP rate is not a dynamic pricing rate. VGRP represents a net

⁴⁷ See D.22-12-056, pp. 13-14 (identifying statutory and regulatory guidelines).

⁴⁸ D.25-08-049, p. 95.

⁴⁹ Cal Advocates Comments, pp. 3-4.

billing structure similar to the NBT structure adopted by the Commission in D.22-12-056, where export compensation is based on the ACC.⁵⁰ NBT structures apply the retail rate to all delivered energy and compensate exports at a value less than the retail rate that approximates the utility's avoided cost. The Settlement Agreement continues this practice by applying the same ACC based pricing to VGRP export energy while pricing delivered energy at the Otherwise Applicable Tariff (OAT). This differs dramatically from dynamic pricing rates where a portion of the load is served on a subscription basis at standard retail rate and another portion of the delivered load is served on functional, hourly dynamic rates.

The appropriate Rate Design Principles (RDP) applicable to VGRP are those adopted in D.23-04-040, and⁵¹ the Settling Parties considered all of the D.23-04-040 RDPs in reaching the Agreement. RDPs 4-6 and 8 are most relevant to VGRP:

- RDP 4 – Rates should encourage economically efficient (i) use of energy, (ii) reduction of GHG emissions, and (iii) electrification;
- RDP 5 – Rates should encourage customer behaviors that improve electric system reliability in an economically efficient manner;
- RDP 6 – Rates should encourage customer behaviors that optimize the use of existing grid infrastructure to reduce long-term electric system costs; and
- RDP 8 – Rates should avoid cross-subsidies that do not transparently and appropriately support explicit state policy goals.⁵²

IV.

CONCLUSION

For the reasons stated above, the Settling Parties respectfully request that the Commission find the Settlement Agreement is reasonable in light of the record, consistent with

⁵⁰ SCE Tier 1 AL 5170-E and 5170-E-A codified the term “Energy Export Credit” or EEC in SCE’s tariffs.

⁵¹ See D.23-04-040, COL 3, p. 35 (“The Electric Rate Design Principles should be followed in the event of any perceived conflict between the Electric Rate Design Principles and the Demand Flexibility Design Principles.”).

⁵² D.23-04-040 p. 2.

law, and in the public interest. The Commission should approve the Settlement agreement and reject Cal Advocates' Comments in opposition.

Respectfully submitted on behalf of the Settling Parties,

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